

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. By 31 January 2022 the workshop owed Tk 20,000 to its machine supplier, Dhaka Machine Works. Four people wanted information about the workshop: Karim Meghna as owner; Dhaka Machine Works, which wanted to know whether the Tk 20,000 would be paid; a bank, to which Karim would apply for a loan in March 2022; and the National Board of Revenue, which collects income tax. No further figures are used.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Accounting, Its Users and Its Rules is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

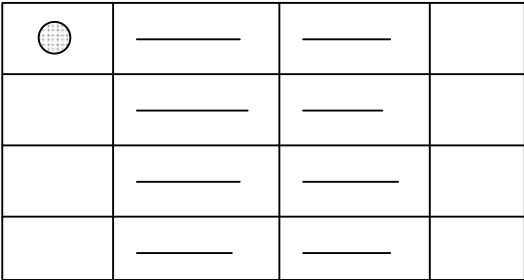
A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

THE ELEMENTARY PRACTICES AND PRINCIPLES OF ACCOUNTING



KUTUSH KUMAR, KUTUM PAKHI



users of accounting information arranged around a busin

FIG. 2.2. users of accounting information arranged around a business

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

2.3 WHO USES ACCOUNTING INFORMATION

In Who Uses Accounting Information, we begin with internal users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Who Uses Accounting Information, we begin with external users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Internal users starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

External users starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The term **Historical cost concept** means the rule that an asset is recorded at the price actually paid for it. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting standard** means a detailed rule, issued by an official body, on how a type of item must be recorded and reported. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Generally accepted accounting principles** means the body of agreed rules that businesses follow when they prepare accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Accounting Is, we begin with accounting as the language of business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What Accounting Is, we begin with recording, classifying, summarising and reporting rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Historical cost concept. the rule that an asset is recorded at the price actually paid for it

Historical cost concept names one specific idea needed here.

Accounting standard. a detailed rule, issued by an official body, on how a type of item must be recorded and reported

Accounting standard names one specific idea needed here.

Generally accepted accounting principles. the body of agreed rules that businesses follow when they prepare accounts

Generally accepted accounting principles names one specific idea needed here.

Accounting as the language of business starts with a concrete question.

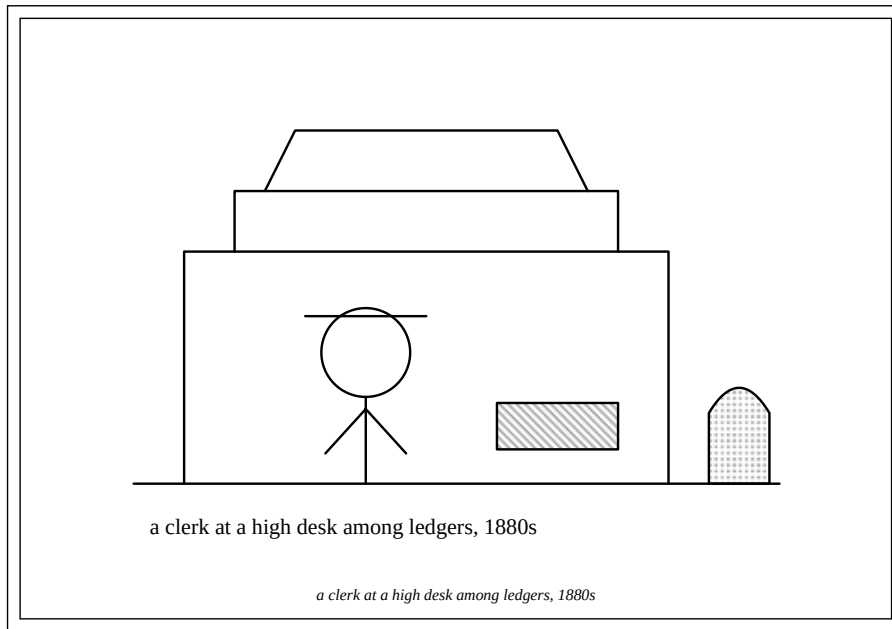
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording, classifying, summarising and reporting starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER II

Accounting, Its Users and Its Rules

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

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system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. In December 2021 Karim Meghna, a bookbinder in Mirpur, Dhaka, decided to open a binding and repair workshop. On 2 January 2022 the workshop opened, with his sons Imran and Rafi helping. Until the end of the first week Karim kept loose notes in a shoebox: 31 paper slips, no dates on 9 of them. At the end of week 1 he could not tell whether the shop had earned a profit. Karim's own savings were the only money put into the business. No other figures are used in this chapter.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Business, Money and Records is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the three kinds of firm side by side, with what each on

FIG. 1.2. the three kinds of firm side by side, with what each one sells

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.3 SERVICE, MERCHANDISING AND MANUFACTURING FIRMS

In Service, Merchandising and Manufacturing Firms, we begin with three kinds of firm rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Service, Merchandising and Manufacturing Firms, we begin with materials and finished goods rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Three kinds of firm starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Materials and finished goods starts with a concrete question.

The procedure keeps the idea tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Business. an organisation that provides goods or services to customers in order to earn money
Business names one specific idea needed here.

Profit. the money left over when a business has paid all its costs out of the money it earns
Profit names one specific idea needed here.

Loss. the shortfall that results when a business's costs are greater than the money it earns
Loss names one specific idea needed here.

Record. a written note, made at the time, of something that happened and its money value
Record names one specific idea needed here.

Customer. a person or organisation that pays for the goods or services a business provides
Customer names one specific idea needed here.

Supplier. a person or organisation that sells goods or services to a business
Supplier names one specific idea needed here.

Owner. a person who put money into a business and has a claim on what is left after debts are paid
Owner names one specific idea needed here.

Service firm. a business that earns money by doing work for customers instead of selling goods
Service firm names one specific idea needed here.

Merchandising firm. a business that buys finished goods and resells them without changing them
Merchandising firm names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Business, Money and Records addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

1.1 EVERYDAY MONEY AND THE NEED FOR RECORDS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Business** means an organisation that provides goods or services to customers in order to earn money. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit** means the money left over when a business has paid all its costs out of the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Loss** means the shortfall that results when a business's costs are greater than the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Record** means a written note, made at the time, of something that happened and its money value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Customer** means a person or organisation that pays for the goods or services a business provides. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Supplier** means a person or organisation that sells goods or services to a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Owner** means a person who put money into a business and has a claim on what is left after debts are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Service firm** means a business that earns money by doing work for customers instead of selling goods. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Merchandising firm** means a business that buys finished goods and resells them without changing them. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Double Entry in Practice, we begin with analysing a transaction in four steps rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

one transaction analysed in four steps

FIG. 5.3. one transaction analysed in four steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.4 T-ACCOUNTS

In T-Accounts, we begin with drawing and balancing a t-account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Analysing a transaction in four steps starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Drawing and balancing a T-account starts with a concrete question.

examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 02.T1 What is the central problem that this chapter method is designed to solve?
- 02.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The International Accounting Standards Committee was founded in 1973 by professional bodies from several countries and was replaced by the International Accounting Standards Board in 2001. Search: IASC founded 1973 IASB 2001. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 02.R1 State the main rule in your own words and apply it to a new small example.
- 02.R2 What check would you perform before accepting the result?

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Account and Its Six Types, we begin with six types of account and the chart of accounts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a T-account with its debit and credit sides labelled

FIG. 5.1. a T-account with its debit and credit sides labelled

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.2 DEBIT AND CREDIT

In Debit and Credit, we begin with debit on the left, credit on the right: the rules for each type rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Six types of account and the chart of accounts starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Debit on the left, credit on the right: the rules for each type starts with a concrete question.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Asset. something of value that a business owns or is owed, such as cash, equipment or money owed by customers

Asset names one specific idea needed here.

Liability. an amount that a business owes to someone outside the business

Liability names one specific idea needed here.

Owner's equity. the owner's claim on the business: what is left when liabilities are taken from assets

Owner's equity names one specific idea needed here.

Accounting equation. the statement that assets always equal liabilities plus owner's equity

Accounting equation names one specific idea needed here.

Revenue. the price of goods sold or services provided to customers in a period

Revenue names one specific idea needed here.

Expense. a cost of running the business that is used up in earning revenue

Expense names one specific idea needed here.

Net income. the amount by which revenue is greater than expenses in a period

Net income names one specific idea needed here.

Net loss. the amount by which expenses are greater than revenue in a period

Net loss names one specific idea needed here.

Drawings. money or goods the owner takes out of the business for personal use

Drawings names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Accounting Equation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

3.1 ASSETS, LIABILITIES AND OWNER'S EQUITY

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Asset** means something of value that a business owns or is owed, such as cash, equipment or money owed by customers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Liability** means an amount that a business owes to someone outside the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Owner's equity** means the owner's claim on the business: what is left when liabilities are taken from assets. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting equation** means the statement that assets always equal liabilities plus owner's equity. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

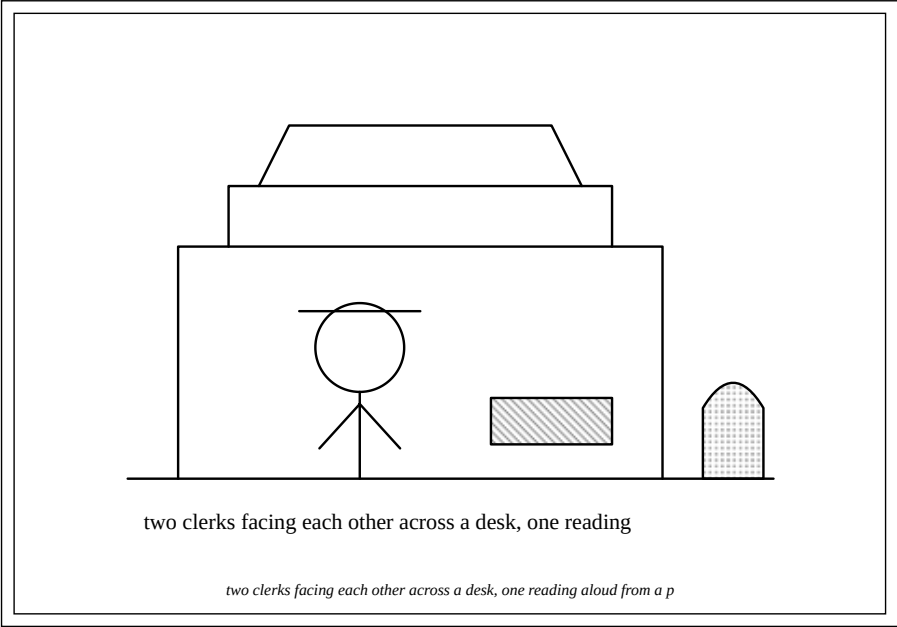
The term **Revenue** means the price of goods sold or services provided to customers in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Expense** means a cost of running the business that is used up in earning revenue. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Net income** means the amount by which revenue is greater than expenses in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Net loss** means the amount by which expenses are greater than revenue in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Drawings** means money or goods the owner takes out of the business for personal use. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.



CHAPTER V

Accounts, Debits and Credits

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The figure shows the same relationship in a compact visual form.

Revenue and expenses change equity starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Drawings starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the accounting equation as a balance scale

FIG. 3.1. the accounting equation as a balance scale

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.2 INCOME, EXPENSES AND WITHDRAWALS

In Income, Expenses and Withdrawals, we begin with revenue and expenses change equity rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Income, Expenses and Withdrawals, we begin with drawings rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

A First Look at the Financial Statements is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 04.T1 What is the central problem that this chapter method is designed to solve?
- 04.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Dutch East India Company (VOC), founded 20 March 1602, was an early company whose investors pressed for reports on how their money was used. Search: VOC 1602 shareholders demand accounts. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a running equation table, one row per transaction

FIG. 3.3. a running equation table, one row per transaction

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.4 SUMMARISING TRANSACTIONS IN THE EQUATION

In Summarising Transactions in the Equation, we begin with analysing one transaction at a time rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Summarising Transactions in the Equation, we begin with totalling the equation after each transaction rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Analysing one transaction at a time starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Totalling the equation after each transaction starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Balance Sheet, we begin with listing order of items rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

4.4 HOW THE STATEMENTS CONNECT; ACCOUNTING PERIODS

In How the Statements Connect; Accounting Periods, we begin with the order of preparation and the links rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In How the Statements Connect; Accounting Periods, we begin with fiscal year, calendar year and interim period rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Listing order of items starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The order of preparation and the links starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Fiscal year, calendar year and interim period starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The Accounting Equation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

03.T1 What is the central problem that this chapter method is designed to solve?

03.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Medici Bank of Florence, founded 1397 by Giovanni di Bicci de' Medici, kept ledgers that listed what the bank owned and owed. Search: Medici Bank ledgers balance 15th century. This note is included as a documented setting in which accounting records or accounting methods had practical consequences.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Income Statement, we begin with reading the heading and the date rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Reading the heading and the date starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the three statements side by side with link arrows

FIG. 4.1. *the three statements side by side with link arrows*

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

The figure shows the same relationship in a compact visual form.

4.2 THE STATEMENT OF OWNER'S EQUITY

In The Statement of Owner's Equity, we begin with opening capital, net income and drawings rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Opening capital, net income and drawings starts with a concrete question.

The term **Depreciation** means the sharing of an asset's cost across the periods in which the asset is used. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accumulated depreciation** means the total depreciation charged on an asset since it was bought. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Contra account** means an account that is deducted from a related account and has the opposite normal balance. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Adjusted trial balance** means a trial balance prepared after the adjusting entries have been posted. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Why Accounts Need Adjusting, we begin with cash basis and accrual basis rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Why Accounts Need Adjusting, we begin with the matching principle and adjusting entries rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Depreciation. the sharing of an asset's cost across the periods in which the asset is used

Depreciation names one specific idea needed here.

Accumulated depreciation. the total depreciation charged on an asset since it was bought

Accumulated depreciation names one specific idea needed here.

Contra account. an account that is deducted from a related account and has the opposite normal balance

Contra account names one specific idea needed here.

Adjusted trial balance. a trial balance prepared after the adjusting entries have been posted

Adjusted trial balance names one specific idea needed here.

Cash basis and accrual basis starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The matching principle and adjusting entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022 transactions: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Six account types used: assets (Cash, Accounts Receivable, Equipment); liabilities (Accounts Payable); owner's equity (Owner's Capital); drawings (Owner's Drawings); revenue (Service Revenue); expenses (Wages Expense, Utilities Expense). Account balances by code at 31 January: Cash Tk 567,000 debit; Accounts Receivable Tk 50,000 debit; Equipment Tk 150,000 debit; Accounts Payable Tk 20,000 credit; Owner's Capital Tk 600,000 credit; Owner's Drawings Tk 20,000 debit; Service Revenue Tk 215,000 credit; Wages Expense Tk 40,000 debit; Utilities Expense Tk 8,000 debit.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

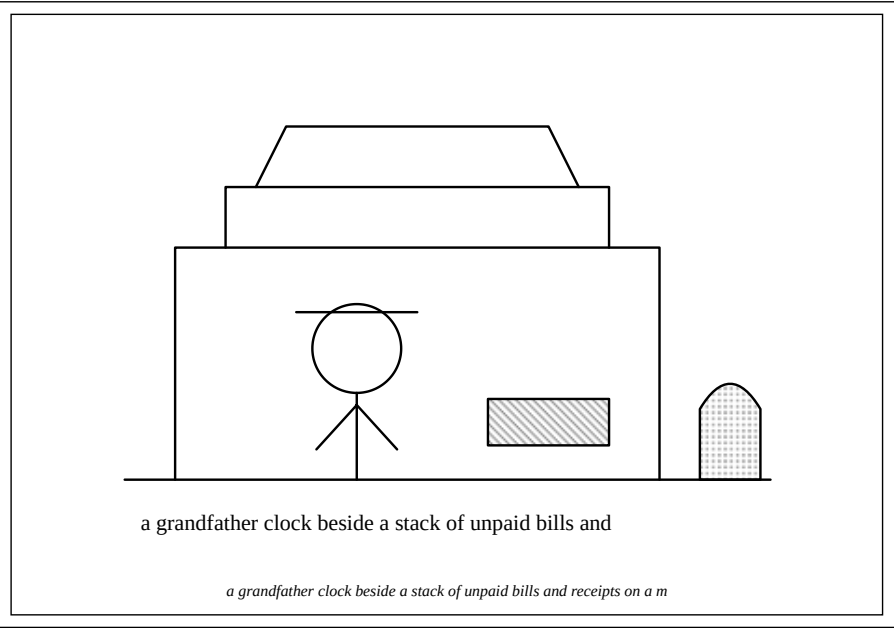
Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.



a grandfather clock beside a stack of unpaid bills and

a grandfather clock beside a stack of unpaid bills and receipts on a m

CHAPTER VIII

Adjusting the Accounts

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Accounts, Debits and Credits is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 05.T1 What is the central problem that this chapter method is designed to solve?
- 05.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Luca Pacioli's Summa de arithmetica, printed in Venice in 1494, contained a treatise that described double-entry bookkeeping as used by Venetian merchants. Search: Pacioli Summa 1494 double entry treatise. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

SUMMARY

The Trial Balance and the Accounting Cycle is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

07.T1 What is the central problem that this chapter method is designed to solve?

07.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A common error is to use a familiar word without checking its accounting meaning.

IN HISTORY

Barings Bank collapsed in February 1995 after trading losses were hidden in an error account numbered 88888 in its Singapore office. Search: Barings 1995 account 88888 Leeson. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

07.R1 State the main rule in your own words and apply it to a new small example.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Ledger balances at 31 January 2022: Cash Tk 567,000 Dr; Accounts Receivable Tk 50,000 Dr; Equipment Tk 150,000 Dr; Owner's Drawings Tk 20,000 Dr; Wages Expense Tk 40,000 Dr; Utilities Expense Tk 8,000 Dr; Accounts Payable Tk 20,000 Cr; Owner's Capital Tk 600,000 Cr; Service Revenue Tk 215,000 Cr. Debit total Tk 835,000; credit total Tk 835,000. Three faulty copies: (a) Equipment copied as Tk 105,000, so debits are Tk 790,000, a difference of Tk 45,000; (b) the credit to Accounts Receivable for the 20 January collection of Tk 70,000 was never posted, so Accounts Receivable shows Tk 120,000 and debits total Tk 905,000 against credits of Tk 835,000; (c) Wages Expense copied as Tk 45,000 and Owner's Drawings copied as Tk 15,000, so the totals still agree at Tk 835,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Journal. the book in which each transaction is first recorded, in date order

Journal names one specific idea needed here.

Journal entry. one recorded transaction, showing the accounts debited and credited and the amounts

Journal entry names one specific idea needed here.

Compound entry. a journal entry that affects more than two accounts

Compound entry names one specific idea needed here.

Narration. a short written explanation placed under a journal entry

Narration names one specific idea needed here.

Ledger. the complete set of accounts of a business, kept together

Ledger names one specific idea needed here.

Posting. copying the amounts from journal entries into the proper ledger accounts

Posting names one specific idea needed here.

Folio. a page or reference number used to link a journal entry with its ledger account

Folio names one specific idea needed here.

Layout of a journal entry starts with a concrete question.

The procedure keeps the idea tied to the facts.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Journal and Ledger addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

6.1 THE JOURNAL AND JOURNAL ENTRIES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Journal** means the book in which each transaction is first recorded, in date order. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Journal entry** means one recorded transaction, showing the accounts debited and credited and the amounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Compound entry** means a journal entry that affects more than two accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Narration** means a short written explanation placed under a journal entry. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ledger** means the complete set of accounts of a business, kept together. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Posting** means copying the amounts from journal entries into the proper ledger accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Folio** means a page or reference number used to link a journal entry with its ledger account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Journal and Journal Entries, we begin with layout of a journal entry rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a trial balance with the two total lines highlighted

FIG. 7.1. a trial balance with the two total lines highlighted

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

7.2 FINDING AND CORRECTING ERRORS

In Finding and Correcting Errors, we begin with errors that stop the totals agreeing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Finding and Correcting Errors, we begin with errors the trial balance cannot find rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Errors that stop the totals agreeing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Errors the trial balance cannot find starts with a concrete question.

A changed situation tests whether the rule has been understood.

Posting step by step and cross-referencing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Ledger and Posting, we begin with posting step by step and cross-referencing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

an arrow from journal entry to the ledger accounts it f

FIG. 6.2. an arrow from journal entry to the ledger accounts it feeds

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

WORKED CYCLE OF ENTRIES

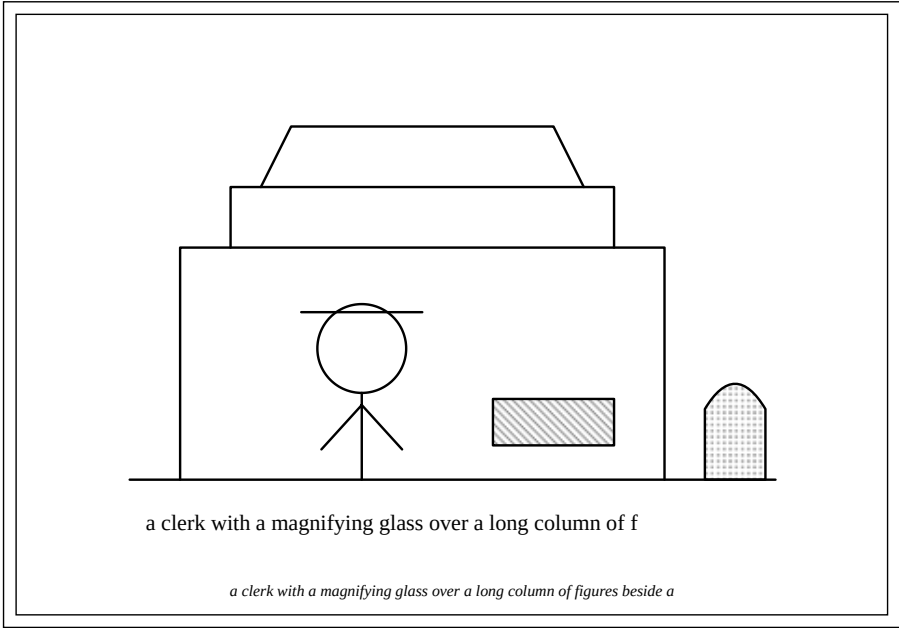
In Worked Cycle of Entries, we begin with a month from journal to ledger balances rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The figure shows the same relationship in a compact visual form.

A month from journal to ledger balances starts with a concrete question.

The procedure keeps the idea tied to the facts.



CHAPTER VII

The Trial Balance and the Accounting Cycle

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

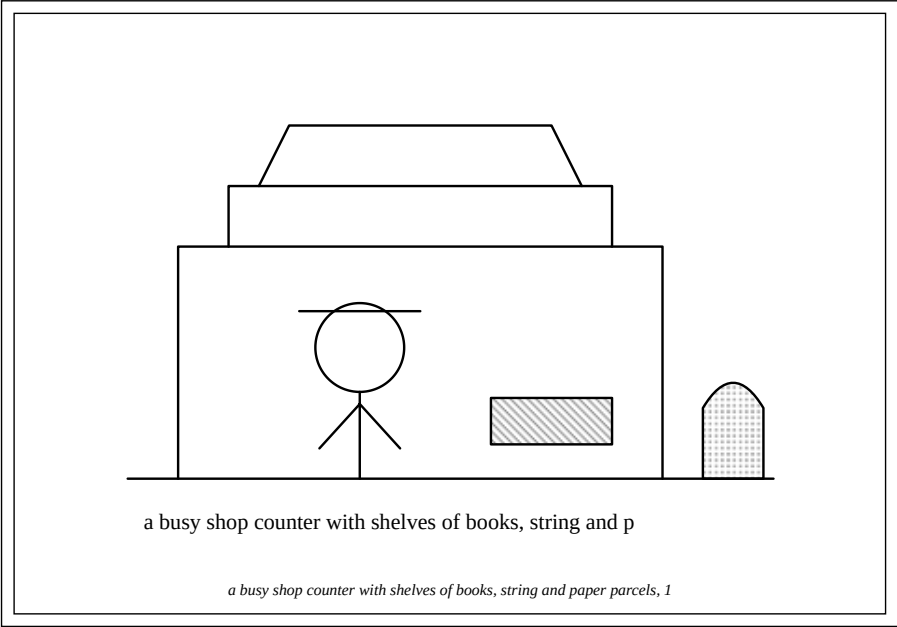
Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.



CHAPTER XI

Merchandising Company Accounts and Classified Statements

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a timeline showing a payment made before, and a cost us

FIG. 8.1. a timeline showing a payment made before, and a cost used after, the month-end

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.2 PREPAID ITEMS AND UNEARNED REVENUE

In Prepaid Items and Unearned Revenue, we begin with prepaid expenses and supplies used rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Prepaid Items and Unearned Revenue, we begin with unearned revenue earned over time rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Prepaid expenses and supplies used starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Unearned revenue earned over time starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Closing the Books is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 10.T1 What is the central problem that this chapter method is designed to solve?
- 10.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

before-and-after trial balance columns for one adjustme

FIG. 8.3. before-and-after trial balance columns for one adjustment

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.4 DEPRECIATION AS AN ADJUSTMENT

In Depreciation as an Adjustment, we begin with spreading the cost of equipment over its life rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Depreciation as an Adjustment, we begin with accumulated depreciation as a contra account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Spreading the cost of equipment over its life starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accumulated depreciation as a contra account starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Adjusted balances at 31 January 2022, from the worksheet: Cash Tk 555,000; Accounts Receivable Tk 65,000; Supplies Tk 7,000; Prepaid Rent Tk 24,000; Equipment Tk 150,000; Accumulated Depreciation Tk 1,000 Cr; Accounts Payable Tk 38,000; Wages Payable Tk 9,000; Unearned Revenue Tk 22,000; Owner's Capital Tk 600,000; Owner's Drawings Tk 20,000; Service Revenue Tk 232,000; Wages Expense Tk 49,000; Utilities Expense Tk 8,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Net income Tk 151,000 (revenue Tk 232,000 less expenses Tk 81,000). Closing capital Tk 731,000 (Tk 600,000 plus Tk 151,000 less Tk 20,000). Total assets Tk 800,000; total liabilities Tk 69,000. Reversing entry for the Tk 9,000 wages accrual is made on 1 February 2022.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Service Revenue Tk 232,000 Cr; Wages Expense Tk 49,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Adjusted totals Tk 902,000 each side.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

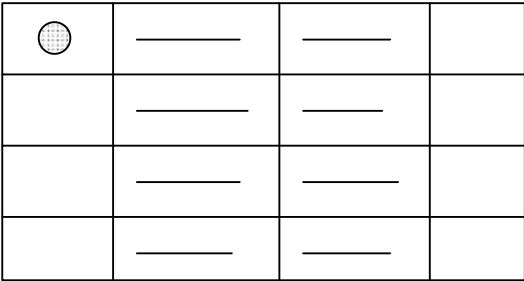
Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



the four closing entries as arrows into the income summ

FIG. 10.1. the four closing entries as arrows into the income summary and capital accounts

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

10.2 CLOSING ENTRIES

In Closing Entries, we begin with why temporary accounts are closed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Closing Entries, we begin with the four closing entries rather than a list of rules. The first task is to identify the item or event being described and to

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Why temporary accounts are closed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The four closing entries starts with a concrete question.

facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Adjusting the Accounts is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 08.T1 What is the central problem that this chapter method is designed to solve?
- 08.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In September 2014 the British supermarket group Tesco announced that its profit had been overstated, because income from suppliers had been recorded too early. Search: Tesco 2014 profit overstatement supplier income timing. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 08.R1 State the main rule in your own words and apply it to a new small example.
- 08.R2 What check would you perform before accepting the result?

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Worksheet. a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns

Worksheet names one specific idea needed here.

Ten-column worksheet. a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet

Ten-column worksheet names one specific idea needed here.

Footting. adding up a column of figures to get its total

Footting names one specific idea needed here.

The worksheet as a working paper starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When and by whom it is prepared starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Worksheet addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

9.1 WHAT A WORKSHEET IS AND WHY IT HELPS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Worksheet** means a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ten-column worksheet** means a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Footting** means adding up a column of figures to get its total. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What a Worksheet Is and Why It Helps, we begin with the worksheet as a working paper rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

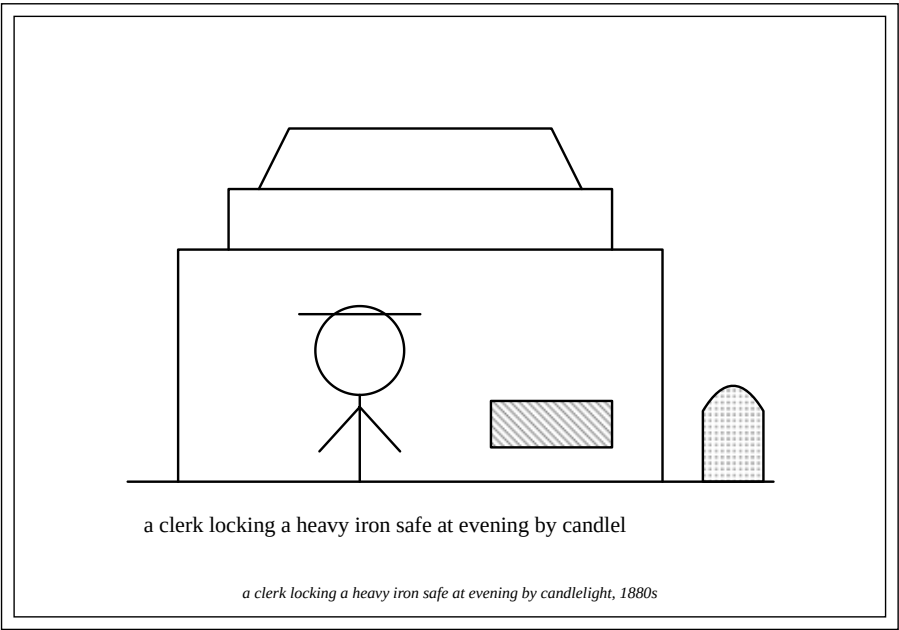
Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What a Worksheet Is and Why It Helps, we begin with when and by whom it is prepared rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



a clerk locking a heavy iron safe at evening by candlel

a clerk locking a heavy iron safe at evening by candlelight, 1880s

CHAPTER X

Closing the Books

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

arrows showing which accounts move to which statement c

FIG. 9.2. arrows showing which accounts move to which statement column

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

A SERVICE COMPANY WORKED THROUGH

In A Service Company Worked Through, we begin with filling every column for the workshop rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In A Service Company Worked Through, we begin with finding net income as the balancing figure rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Filling every column for the workshop starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Finding net income as the balancing figure starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Merchandise inventory. the goods a merchandising firm holds for resale

Merchandise inventory names one specific idea needed here.

Purchases. the cost of goods bought during the period for resale

Purchases names one specific idea needed here.

Sales. the selling price of goods sold to customers during the period

Sales names one specific idea needed here.

Sales return. goods that a customer sends back, reducing sales

Sales return names one specific idea needed here.

Purchase return. goods that the firm sends back to a supplier, reducing purchases

Purchase return names one specific idea needed here.

Freight-in. the cost of carrying purchased goods to the firm's premises

Freight-in names one specific idea needed here.

Cost of goods sold. the cost of the goods that were sold during the period

Cost of goods sold names one specific idea needed here.

Gross profit. net sales less cost of goods sold

Gross profit names one specific idea needed here.

Product cost. a cost included in the cost of the goods themselves

Product cost names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Merchandising Company Accounts and Classified Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

11.1 BUYING AND SELLING GOODS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Merchandise inventory** means the goods a merchandising firm holds for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases** means the cost of goods bought during the period for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales** means the selling price of goods sold to customers during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales return** means goods that a customer sends back, reducing sales. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchase return** means goods that the firm sends back to a supplier, reducing purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Freight-in** means the cost of carrying purchased goods to the firm's premises. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost of goods sold** means the cost of the goods that were sold during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Gross profit** means net sales less cost of goods sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Product cost** means a cost included in the cost of the goods themselves. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing the Reconciliation Statement, we begin with journal entries after reconciling rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Cash book balance at 31 May 2024 Tk 313,000 (see May 2024 receipts and payments). Items found when the bank statement arrived: cheque 5004 for Tk 85,000 to Jamuna Distributors not yet presented; the Tk 95,000 received from Green Valley College on 28 May banked on 31 May but not yet shown by the bank; bank charges of Tk 1,500 not yet in the cash book; a direct payment of Tk 8,000 from Notun Library into the bank, not yet in the cash book. By code: adjusted cash book balance Tk 319,500; bank statement balance Tk 309,500.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entries after reconciling starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

Cost of goods sold and gross profit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Buying and Selling Goods, we begin with cost of goods sold and gross profit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

goods flowing from supplier to shop to customer with th

FIG. 11.1. goods flowing from supplier to shop to customer with the account for each step

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.2 PRODUCT COSTS AND PERIOD COSTS

In Product Costs and Period Costs, we begin with product costs versus period costs rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Cash Book and Bank Statement, we begin with why the balances rarely agree rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash book and a bank statement side by side with matc

FIG. 13.1. a cash book and a bank statement side by side with matching items marked

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

13.2 CAUSES OF DIFFERENCES; DEBIT AND CREDIT MEMOS

In Causes of Differences; Debit and Credit Memos, we begin with timing differences: deposits in transit and outstanding cheques rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why the balances rarely agree starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Timing differences: deposits in transit and outstanding cheques starts with a concrete question.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a classified balance sheet with current and non-current

FIG. 11.3. a classified balance sheet with current and non-current groups

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.4 THE CLASSIFIED BALANCE SHEET

In The Classified Balance Sheet, we begin with current and non-current assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Classified Balance Sheet, we begin with why the grouping helps a lender rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Current and non-current assets and liabilities starts with a concrete question.

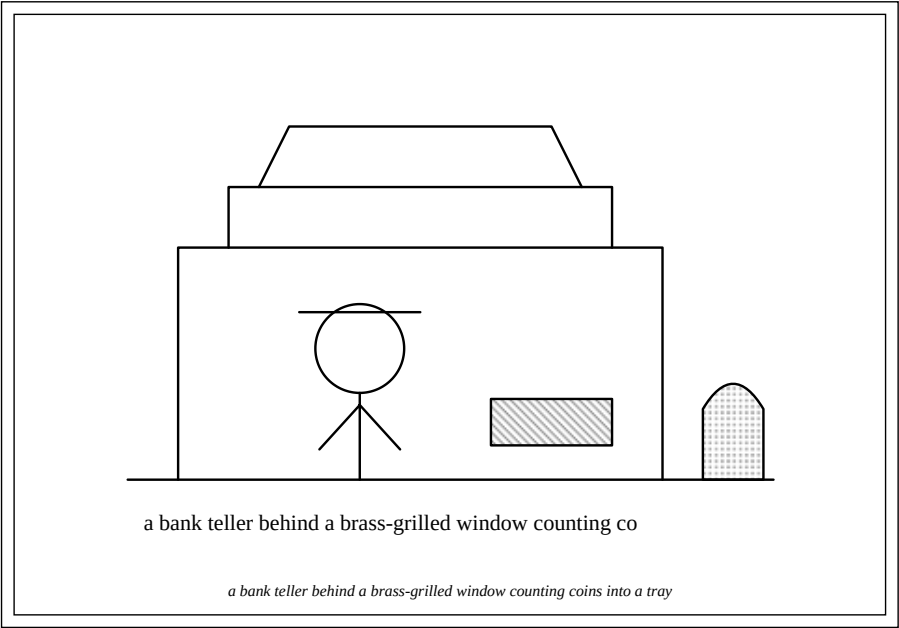
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why the grouping helps a lender starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER XIII

Bank Reconciliation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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SUMMARY

Merchandising Company Accounts and Classified Statements is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 11.T1 What is the central problem that this chapter method is designed to solve?
- 11.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

A further check keeps the rule tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Cash Book and Cash Disbursements, we begin with cash disbursements journal rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. May 2024. Credit purchases: 3 May Padma Books Ltd Tk 120,000; 11 May Jamuna Distributors Tk 85,000; 19 May Padma Books Ltd Tk 60,000; 27 May Surma Stationers Tk 45,000 (total Tk 310,000). Credit sales: 4 May Dhaka Public School Tk 70,000; 13 May Green Valley College Tk 95,000; 22 May Notun Library Tk 40,000 (total Tk 205,000). Bank receipts: 9 May cash sales banked Tk 150,000; 20 May Dhaka Public School Tk 70,000; 28 May Green Valley College Tk 95,000 (total Tk 315,000). Bank payments: 15 May Padma Books Ltd, cheque 5001 Tk 120,000; 17 May rent, cheque 5002 Tk 12,000; 25 May wages, cheque 5003 Tk 35,000; 30 May Jamuna Distributors, cheque 5004 Tk 85,000 (total Tk 252,000). Bank balance at 1 May Tk 250,000; cash book balance at 31 May Tk 313,000. Unpaid at 31 May: Padma Books Ltd Tk 60,000 and Surma Stationers Tk 45,000; Notun Library owes Tk 40,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Cash disbursements journal starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases

Special journal names one specific idea needed here.

General journal. the journal used for transactions that no special journal covers

General journal names one specific idea needed here.

Invoice. a document sent by a seller stating the goods or services supplied and the amount due

Invoice names one specific idea needed here.

Purchases journal. the special journal for goods bought on credit

Purchases journal names one specific idea needed here.

Sales journal. the special journal for goods sold on credit

Sales journal names one specific idea needed here.

Cash receipts journal. the special journal for all money received

Cash receipts journal names one specific idea needed here.

Cash disbursements journal. the special journal for all money paid out

Cash disbursements journal names one specific idea needed here.

Cash book. a book that records the receipts and payments passing through the firm's bank account

Cash book names one specific idea needed here.

Repeated transactions and the time they waste starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Special Journals and the Cash Book addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

12.1 WHY SPECIAL JOURNALS EXIST

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Special journal** means a journal used for only one kind of repeated transaction, such as credit purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **General journal** means the journal used for transactions that no special journal covers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Invoice** means a document sent by a seller stating the goods or services supplied and the amount due. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases journal** means the special journal for goods bought on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales journal** means the special journal for goods sold on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash receipts journal** means the special journal for all money received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash disbursements journal** means the special journal for all money paid out. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash book** means a book that records the receipts and payments passing through the firm's bank account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Why Special Journals Exist, we begin with repeated transactions and the time they waste rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The term **Interest on capital** means an agreed payment to a partner for the capital put into the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Appropriation account** means the account that shows how a partnership's profit is divided among the partners. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Non-Trading Concerns, we begin with receipts and payments account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Non-Trading Concerns, we begin with income and expenditure account and surplus rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Interest on capital. an agreed payment to a partner for the capital put into the business

Interest on capital names one specific idea needed here.

Appropriation account. the account that shows how a partnership's profit is divided among the partners

Appropriation account names one specific idea needed here.

Receipts and payments account starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Income and expenditure account and surplus starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

SUMMARY

Bank Reconciliation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

13.T1 What is the central problem that this chapter method is designed to solve?

13.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In February 2016 criminals sent fraudulent payment instructions in the name of Bangladesh Bank, and about US\$81 million reached accounts in the Philippines. Search: Bangladesh Bank 2016 SWIFT heist US\$81 million. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

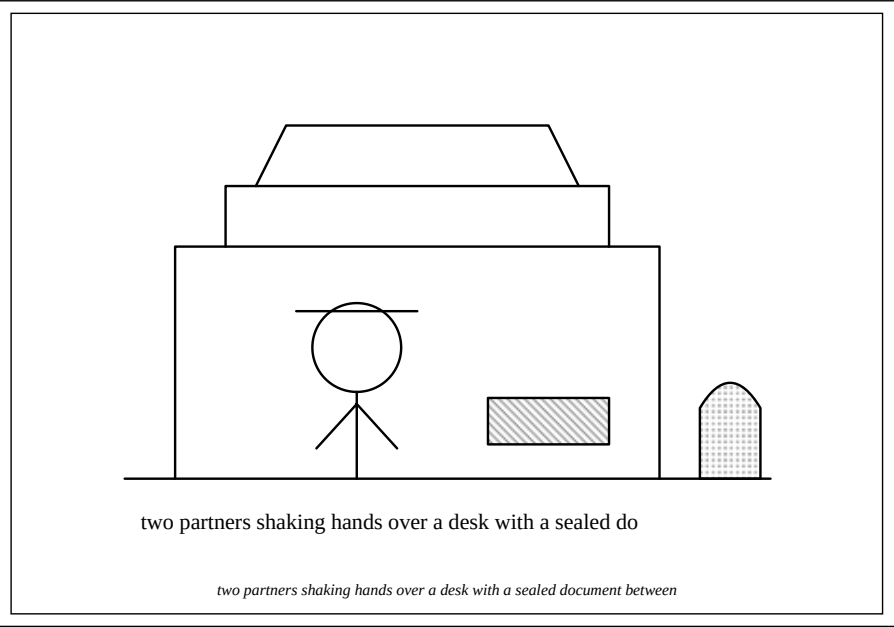
13.R1 State the main rule in your own words and apply it to a new small example.

13.R2 What check would you perform before accepting the result?

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.



CHAPTER XVI

Non-Trading Concerns and Partnership Accounts

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Inventory. goods a business holds for sale, or materials and part-made goods it holds to make products

Inventory names one specific idea needed here.

Raw materials. the basic materials a manufacturer buys to make its products

Raw materials names one specific idea needed here.

Work in process. goods that have been started in production but are not yet finished

Work in process names one specific idea needed here.

Finished goods. completed products waiting to be sold

Finished goods names one specific idea needed here.

Stockout. a shortage that occurs when goods are wanted by customers but none are available

Stockout names one specific idea needed here.

Cost flow assumption. a rule that decides which purchase costs are assigned to goods sold and which to goods still held

Cost flow assumption names one specific idea needed here.

First-in, first-out (FIFO). the cost flow assumption that treats the oldest goods as the first sold

First-in, first-out (FIFO) names one specific idea needed here.

Last-in, first-out (LIFO). the cost flow assumption that treats the newest goods as the first sold

Last-in, first-out (LIFO) names one specific idea needed here.

Weighted average cost. a method that gives each unit the average cost of all units available

Weighted average cost names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Inventory addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

14.1 WHAT INVENTORY IS AND ITS TYPES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Inventory** means goods a business holds for sale, or materials and part-made goods it holds to make products. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Raw materials** means the basic materials a manufacturer buys to make its products. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Work in process** means goods that have been started in production but are not yet finished. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Finished goods** means completed products waiting to be sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Stockout** means a shortage that occurs when goods are wanted by customers but none are available. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost flow assumption** means a rule that decides which purchase costs are assigned to goods sold and which to goods still held. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **First-in, first-out (FIFO)** means the cost flow assumption that treats the oldest goods as the first sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Last-in, first-out (LIFO)** means the cost flow assumption that treats the newest goods as the first sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Weighted average cost** means a method that gives each unit the average cost of all units available. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

* * *

14.2 WHY FIRMS KEEP INVENTORY, AND TOO MUCH OR TOO LITTLE

In Why Firms Keep Inventory, and Too Much or Too Little, we begin with reasons for holding inventory and the dangers of too little or too much rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a three-column comparison of the closing stock value, t

FIG. 14.2. a three-column comparison of the closing stock value, the goods sold figure and gross profit for each method

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

14.3 FIFO

In FIFO, we begin with cost flow and first-in, first-out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

* * *

15.5 SCHEDULES, DISPOSAL AND STATEMENT PRESENTATION

In Schedules, Disposal and Statement Presentation, we begin with depreciation schedule and balance sheet presentation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Schedules, Disposal and Statement Presentation, we begin with selling a plant asset at a gain or a loss rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. On 1 January 2023 the firm bought an automatic binding machine for Tk 480,000 and paid Tk 20,000 for delivery and installation, total cost Tk 500,000. Useful life 5 years; residual value Tk 50,000; depreciable cost Tk 450,000. By code, straight-line Tk 90,000 a year. Sum of the years' digits (15): Tk 150,000; Tk 120,000; Tk 90,000; Tk 60,000; Tk 30,000. Units of production: expected output 900,000 books bound, Tk 0.50 a book; output 200,000 in 2023, 250,000 in 2024, 180,000 in 2025, giving Tk 100,000; Tk 125,000; Tk 90,000. Under straight-line, accumulated depreciation at 31 December 2025 is Tk 270,000 and book value Tk 230,000. The machine was sold on 31 December 2025 for Tk 190,000, a loss of Tk 40,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Depreciation schedule and balance sheet presentation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Selling a plant asset at a gain or a loss starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Weighted average cost starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What each method does to profit in rising prices starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Choosing a method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In LIFO and Weighted Average, we begin with weighted average cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

14.5 COMPARING METHODS; INCOME AND TAX

In Comparing Methods; Income and Tax, we begin with what each method does to profit in rising prices rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

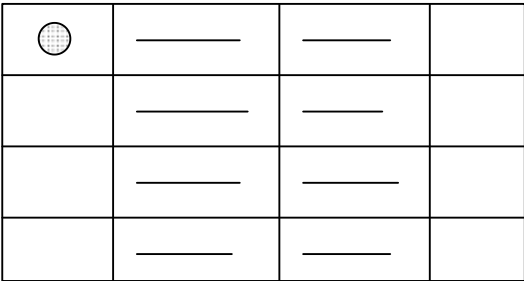
Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Comparing Methods; Income and Tax, we begin with choosing a method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should



book value falling year by year on one axis

FIG. 15.2. book value falling year by year on one axis

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.3 STRAIGHT-LINE AND UNITS OF PRODUCTION

In Straight-Line and Units of Production, we begin with straight-line method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Straight-Line and Units of Production, we begin with units-of-production method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Straight-line method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Units-of-production method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The term **Book value** means an asset's cost less its accumulated depreciation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciation schedule** means a table showing the depreciation, accumulated depreciation and book value for each year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Nature and Cost of Plant Assets, we begin with what a plant asset is rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Nature and Cost of Plant Assets, we begin with what goes into its cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Book value. an asset's cost less its accumulated depreciation

Book value names one specific idea needed here.

Depreciation schedule. a table showing the depreciation, accumulated depreciation and book value for each year

Depreciation schedule names one specific idea needed here.

What a plant asset is starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What goes into its cost starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

REVIEW QUESTIONS

14.R1 State the main rule in your own words and apply it to a new small example.

14.R2 What check would you perform before accepting the result?

Maths You Will Use



The figure shows the same relationship in a compact visual form.

Features of a partnership starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Contents of a partnership deed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a receipts and payments account converted into an income and expenditure account

FIG. 16.1.1. a receipts and payments account converted into an income and expenditure account

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

16.2 FORMING A PARTNERSHIP AND THE DEED

In Forming a Partnership and the Deed, we begin with features of a partnership rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Forming a Partnership and the Deed, we begin with contents of a partnership deed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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SUMMARY

Company Accounting and Shares is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 18.T1 What is the central problem that this chapter method is designed to solve?
- 18.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Club: the Meghna Readers' Club, begun by the family in 2023. Receipts and payments for the year ended 31 December 2024: opening cash Tk 15,000; subscriptions received Tk 84,000; donations Tk 20,000; sale of old books Tk 9,000; payments for hall rent Tk 36,000, newspapers and magazines Tk 12,000, new books Tk 18,000, librarian's salary Tk 24,000, refreshments Tk 7,000. Closing cash Tk 31,000. Adjustments: subscriptions owing for 2024 Tk 4,000; subscriptions received in advance for 2025 Tk 6,000; hall rent owing Tk 3,000. By code: income Tk 111,000; expenditure Tk 100,000; surplus Tk 11,000. Partnership: from 1 January 2025 Karim Meghna and his son Imran Meghna are partners. Capital: Karim Tk 600,000; Imran Tk 300,000. Terms: interest on capital 5% a year; salary to Imran Tk 60,000; the rest shared 2:1 (Karim:Imran). Profit before appropriation for 2025 Tk 420,000. By code: interest Karim Tk 30,000, Imran Tk 15,000; remainder Tk 315,000, Karim Tk 210,000, Imran Tk 105,000; totals Karim Tk 240,000, Imran Tk 180,000. Drawings: Karim Tk 90,000; Imran Tk 60,000. Closing balances Karim Tk 750,000; Imran Tk 420,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the stages of issuing a share, with the amount due at e

FIG. 18.2. the stages of issuing a share, with the amount due at each stage

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

18.3 ISSUING SHARES

In Issuing Shares, we begin with application, allotment and calls rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Issuing Shares, we begin with journal entries for each stage rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Application, allotment and calls starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entries for each stage starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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SUMMARY

Non-Trading Concerns and Partnership Accounts is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

16.T1 What is the central problem that this chapter method is designed to solve?

16.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The term **Allotment** means the company's decision to give shares to applicants, with the payment due on that step. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Call** means a later request to shareholders to pay part of the amount still owed on their shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In *What a Company Is*, we begin with the company as a separate legal person rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *What a Company Is*, we begin with limited liability rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Allotment, the company's decision to give shares to applicants, with the payment due on that step

Allotment names one specific idea needed here.

Call, a later request to shareholders to pay part of the amount still owed on their shares
Call names one specific idea needed here.

The company as a separate legal person starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Limited liability starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Partnership Liquidation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

17.1 WHAT LIQUIDATION MEANS AND WHY IT HAPPENS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Liquidation** means the process of selling a business's assets, paying its debts and sharing what is left among the owners. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Realisation** means the sale of the assets of a business for cash. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Capital deficiency** means a debit balance in a partner's capital account after losses are shared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash distribution schedule** means a table that shows how cash is paid out to creditors and partners step by step. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Liquidation Means and Why It Happens, we begin with liquidation and the reasons partnerships end rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The chapter vocabulary is fixed before the procedures are applied.

Liquidation. the process of selling a business's assets, paying its debts and sharing what is left among the owners

Liquidation names one specific idea needed here.

Realisation. the sale of the assets of a business for cash

Realisation names one specific idea needed here.

Capital deficiency. a debit balance in a partner's capital account after losses are shared

Capital deficiency names one specific idea needed here.

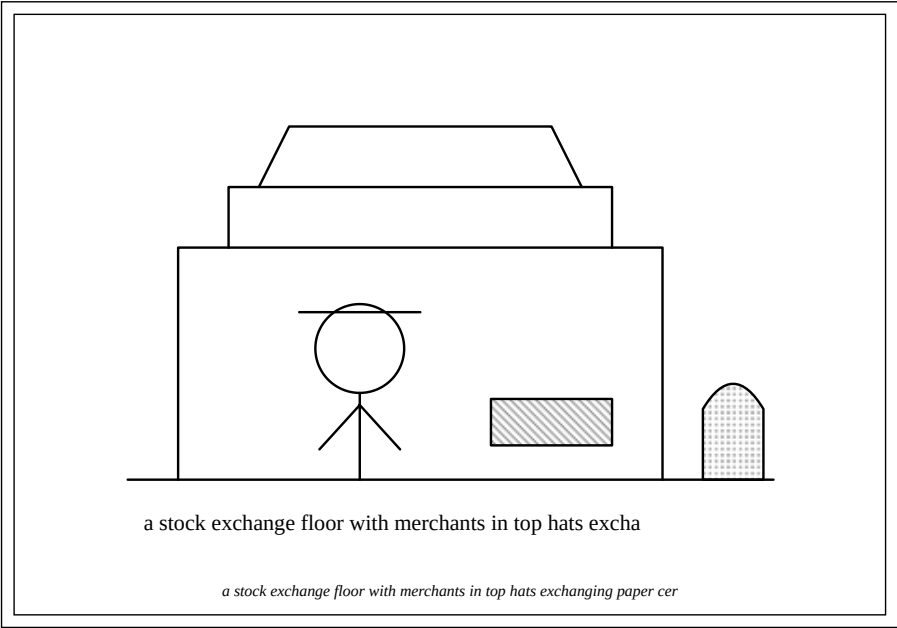
Cash distribution schedule. a table that shows how cash is paid out to creditors and partners step by step

Cash distribution schedule names one specific idea needed here.

Liquidation and the reasons partnerships end starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER XVIII

Company Accounting and Shares

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Partnership Liquidation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash distribution schedule with a column for each par

FIG. 17.2. a cash distribution schedule with a column for each partner

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

17.3 DISTRIBUTING CASH TO PARTNERS

In Distributing Cash to Partners, we begin with closing partners' capital and the cash distribution schedule rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Distributing Cash to Partners, we begin with when a partner has a capital deficiency rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Closing partners' capital and the cash distribution schedule starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When a partner has a capital deficiency starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

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A.1 PERCENTAGES AND PERCENTAGE CHANGE

The term **Percentage** means a number written as a part out of one hundred. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Percentage change** means the size of an increase or decrease shown as a percentage of the starting figure. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Ratio** means a comparison of two or more amounts, written with a colon, such as 2:1. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Average** means the total of a set of numbers divided by how many numbers there are. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Rounding** means replacing a number by a nearby simpler number, such as the nearest whole taka. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.2 RATIOS AND AVERAGES

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.3 REARRANGING, ROUNDING AND GRAPHS

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while

Percentage, a number written as a part out of one hundred

Percentage gives a precise mathematical meaning.

Percentage change, the size of an increase or decrease shown as a percentage of the starting figure

Percentage change gives a precise mathematical meaning.

Ratio, a comparison of two or more amounts, written with a colon, such as 2:1

Ratio gives a precise mathematical meaning.

Average, the total of a set of numbers divided by how many numbers there are

Average gives a precise mathematical meaning.

Rounding, replacing a number by a nearby simpler number, such as the nearest whole taka

Rounding gives a precise mathematical meaning.

Percentages and Percentage Change provides a practical mathematical tool.

Ratios and Averages provides a practical mathematical tool.

Rearranging, Rounding and Graphs provides a practical mathematical tool.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

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Cash book, 98, 100–101, 104, 106–107, 109
Cash disbursements journal, 98, 101
Cash distribution schedule, 144, 146
Cash receipts journal, 98

Allotment, the company's decision to give shares to applicants, with the payment due on that step The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Application money, the first payment, made with a request to buy shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Appropriation account, the account that shows how a partnership's profit is divided among the partners The chapter example shows how the term is used in practice. (*Chapter XVI*)

Asset, something of value that a business owns or is owed, such as cash, equipment or money owed by customers The chapter example shows how the term is used in practice. (*Chapter III*)

Average, the total of a set of numbers divided by how many numbers there are The chapter example shows how the term is used in practice. (*Appendix A*)

Balance sheet, the report that lists the assets, liabilities and owner's equity of a business on one date The chapter example shows how the term is used in practice. (*Chapter IV*)

Bank reconciliation statement, a statement that explains the difference between the cash book balance and the bank statement balance The chapter example shows how the term is used in practice. (*Chapter XIII*)

Bank statement, a report from the bank listing the deposits, withdrawals and balance on the firm's account The chapter example shows how the term is used in practice. (*Chapter XIII*)

Book value, an asset's cost less its accumulated depreciation The chapter example shows how the term is used in practice. (*Chapter XV*)

Business, an organisation that provides goods or services to customers in order to earn money The chapter example shows how the term is used in practice. (*Chapter I*)

Business entity concept, the rule that a business is kept separate from its owner when records are made The chapter example shows how the term is used in practice. (*Chapter II*)

Calendar year, the twelve months from 1 January to 31 December The chapter example shows how the term is used in practice. (*Chapter IV*)

Call, a later request to shareholders to pay part of the amount still owed on their shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Capital deficiency, a debit balance in a partner's capital account after losses are shared The chapter example shows how the term is used in practice. (*Chapter XVII*)

Capital expenditure, spending that adds to the cost of an asset, including delivery and installation The chapter example shows how the term is used in practice. (*Chapter XV*)

Cash basis, the method of recording revenue and expenses only when cash is received or paid The chapter example shows how the term is used in practice. (*Chapter VIII*)

Cash book, a book that records the receipts and payments passing through the firm's bank account The chapter example shows how the term is used in practice. (*Chapter XII*)

FURTHER READING

ICAEW, Historical accounting literature collection, 1494 and related materials

provides The chapter example shows how the term is used in practice. (*Chapter I*)

Debit. an entry on the left side of an account The chapter example shows how the term is used in practice. (*Chapter V*)

Debit memo. a bank notice that it has taken money out of the firm's account, for example a charge The chapter example shows how the term is used in practice. (*Chapter XIII*)

Deficit. the amount by which expenditure is greater than income in a non-trading concern The chapter example shows how the term is used in practice. (*Chapter XVI*)

Deposit in transit. money the firm has recorded as banked but the bank has not yet added to its statement The chapter example shows how the term is used in practice. (*Chapter XIII*)

Depreciable cost. the cost of an asset less its residual value The chapter example shows how the term is used in practice. (*Chapter XV*)

Depreciation. the sharing of an asset's cost across the periods in which the asset is used The chapter example shows how the term is used in practice. (*Chapter VIII*)

Depreciation schedule. a table showing the depreciation, accumulated depreciation and book value for each year The chapter example shows how the term is used in practice. (*Chapter XV*)

Dividend. a share of a company's profit paid to its shareholders The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts The chapter example shows how the term is used in practice. (*Chapter V*)

Drawings. money or goods the owner takes out of the business for personal use The chapter example shows how the term is used in practice. (*Chapter III*)

Ending inventory. the cost of goods still held at the end of the period The chapter example shows how the term is used in practice. (*Chapter XIV*)

Error of omission. a mistake in which a transaction, or one side of it, is left out of the records The chapter example shows how the term is used in practice. (*Chapter VII*)

Expense. a cost of running the business that is used up in earning revenue The chapter example shows how the term is used in practice. (*Chapter III*)

Financial accounting. accounting that prepares reports on a business for people outside it, such as banks and tax officers The chapter example shows how the term is used in practice. (*Chapter II*)

Financial statement. a formal report that sums up the money results or position of a business The chapter example shows how the term is used in practice. (*Chapter IV*)

Finished goods. completed products waiting to be sold The chapter example shows how the term is used in practice. (*Chapter XIV*)

First-in, first-out (FIFO). the cost flow assumption that treats the oldest goods as the first sold The chapter example shows how the term is used in practice. (*Chapter XIV*)

10.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XI · MERCHANDISING COMPANY ACCOUNTS AND CLASSIFIED STATEMENTS

11.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XII · SPECIAL JOURNALS AND THE CASH BOOK

12.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIII · BANK RECONCILIATION

13.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIV · INVENTORY

14.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

Journal entry. one recorded transaction, showing the accounts debited and credited and the amounts The chapter example shows how the term is used in practice. (*Chapter VI*)

Last-in, first-out (LIFO). the cost flow assumption that treats the newest goods as the first sold The chapter example shows how the term is used in practice. (*Chapter XIV*)

Ledger. the complete set of accounts of a business, kept together The chapter example shows how the term is used in practice. (*Chapter VI*)

Liability. an amount that a business owes to someone outside the business The chapter example shows how the term is used in practice. (*Chapter III*)

Limited liability. the rule that shareholders can lose no more than they have paid or agreed to pay for their shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Liquidation. the process of selling a business's assets, paying its debts and sharing what is left among the owners The chapter example shows how the term is used in practice. (*Chapter XVII*)

Loss. the shortfall that results when a business's costs are greater than the money it earns The chapter example shows how the term is used in practice. (*Chapter I*)

Management accounting. accounting that gives a business's own managers the information they need to plan and decide The chapter example shows how the term is used in practice. (*Chapter II*)

Manufacturing firm. a business that makes goods from materials and then sells them The chapter example shows how the term is used in practice. (*Chapter I*)

Matching principle. the rule that expenses are recorded in the same period as the revenue they helped to earn The chapter example shows how the term is used in practice. (*Chapter VIII*)

Merchandise inventory. the goods a merchandising firm holds for resale The chapter example shows how the term is used in practice. (*Chapter XI*)

Merchandising firm. a business that buys finished goods and resells them without changing them The chapter example shows how the term is used in practice. (*Chapter I*)

Money measurement concept. the rule that only events that can be stated in money are recorded The chapter example shows how the term is used in practice. (*Chapter II*)

Narration. a short written explanation placed under a journal entry The chapter example shows how the term is used in practice. (*Chapter VI*)

Net income. the amount by which revenue is greater than expenses in a period The chapter example shows how the term is used in practice. (*Chapter III*)

Net loss. the amount by which expenses are greater than revenue in a period The chapter example shows how the term is used in practice. (*Chapter III*)

Non-current asset. an asset the firm expects to use for longer than one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Non-current liability. a debt not due for payment until after one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Non-trading concern. an organisation, such as a club, that exists to serve its members and not to earn profit The chapter example shows how the term is used in practice. (*Chapter XVI*)

ANSWERS TO QUESTIONS

CHAPTER I · BUSINESS, MONEY AND RECORDS

01.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER II · ACCOUNTING, ITS USERS AND ITS RULES

02.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER III · THE ACCOUNTING EQUATION

03.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER IV · A FIRST LOOK AT THE FINANCIAL STATEMENTS

04.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER V · ACCOUNTS, DEBITS AND CREDITS

05.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

Product cost. a cost included in the cost of the goods themselves The chapter example shows how the term is used in practice. (*Chapter XI*)

Profit. the money left over when a business has paid all its costs out of the money it earns The chapter example shows how the term is used in practice. (*Chapter I*)

Profit-sharing ratio. the agreed proportions in which partners share profit and loss The chapter example shows how the term is used in practice. (*Chapter XVI*)

Purchase return. goods that the firm sends back to a supplier, reducing purchases The chapter example shows how the term is used in practice. (*Chapter XI*)

Purchases. the cost of goods bought during the period for resale The chapter example shows how the term is used in practice. (*Chapter XI*)

Purchases journal. the special journal for goods bought on credit The chapter example shows how the term is used in practice. (*Chapter XII*)

Ratio. a comparison of two or more amounts, written with a colon, such as 2:1 The chapter example shows how the term is used in practice. (*Appendix A*)

Raw materials. the basic materials a manufacturer buys to make its products The chapter example shows how the term is used in practice. (*Chapter XIV*)

Realisation. the sale of the assets of a business for cash The chapter example shows how the term is used in practice. (*Chapter XVII*)

Receipts and payments account. a summary of all cash received and paid in a period, whatever period it belongs to The chapter example shows how the term is used in practice. (*Chapter XVI*)

Record. a written note, made at the time, of something that happened and its money value The chapter example shows how the term is used in practice. (*Chapter I*)

Residual value. the amount the firm expects to receive when it disposes of the asset at the end of its useful life The chapter example shows how the term is used in practice. (*Chapter XV*)

Revenue. the price of goods sold or services provided to customers in a period The chapter example shows how the term is used in practice. (*Chapter III*)

Reversing entry. an entry made on the first day of a new period that cancels an earlier adjusting entry The chapter example shows how the term is used in practice. (*Chapter X*)

Rounding. replacing a number by a nearby simpler number, such as the nearest whole taka The chapter example shows how the term is used in practice. (*Appendix A*)

Sales. the selling price of goods sold to customers during the period The chapter example shows how the term is used in practice. (*Chapter XI*)

Sales journal. the special journal for goods sold on credit The chapter example shows how the term is used in practice. (*Chapter XII*)

Sales return. goods that a customer sends back, reducing sales The chapter example shows how the term is used in practice. (*Chapter XI*)

Service firm. a business that earns money by doing work for customers instead of selling goods The chapter example shows how the term is used in practice. (*Chapter I*)

